question if they should not be completely avoided as a medium of fixed-value investment. But in rebuttal it may be pointed out that a small number of preferred issues maintained an investment rating even at the worst moments of 1932, and a much larger number during the severe recession of 1938. The proponents of preferred shares will contend, moreover, that under *normal* variations in business conditions the higher yield of this group will compensate for such inferiority as exists in their safety as compared with bonds. This is an argument which always appeals to the investor in good times, when the increased income is an actuality and the risk to principal seems a remote contingency. In bad times there is perhaps an opposite disposition to consider only the shrinkage of principal suffered and to forget about the higher income received in the years preceding.

To present a broader view of this question, we revert to our previous discussion of bonds with varying degrees of safety, in which we arrived at the principle that risk and income return are at bottom *incommensurable*. If this statement is valid for bonds, it must apply with equal force to preferred stocks. This means that it is not sound procedure to purchase a preferred stock at an investment price (*e.g.*, close to par) when the presence of a substantial risk to principal is recognized, but when this risk is expected to be offset by an attractive dividend return. It would follow from this principle that the only preferred stock which can properly be bought for investment would be one which in the purchaser's opinion carries no appreciable risk of dividend suspension.

Qualification of High-Grade Preferred Stocks. What must be the qualifications of such a preferred stock? In the first place, it must meet all the minimum requirements of a safe bond. In the second place, it must exceed these minimum requirements by a certain added margin to offset the discretionary feature in the payment of dividends; *i.e.*, the margin of safety must be so large that the directors may always be expected to declare the dividend as a matter of course. Thirdly, the stipulation of inherent stability in the business itself must be more stringent than in the case of a bond investment, because a company subject to alternations between large profits and temporary losses is likely to suspend preferred dividends during the latter periods even though its average earnings may far exceed the annual requirements.

The foregoing reasoning suggests conclusions that correspond to the actual behavior of preferred shares in 1932–1933. These conclusions are,